

Unemployment Benefits and Job Search

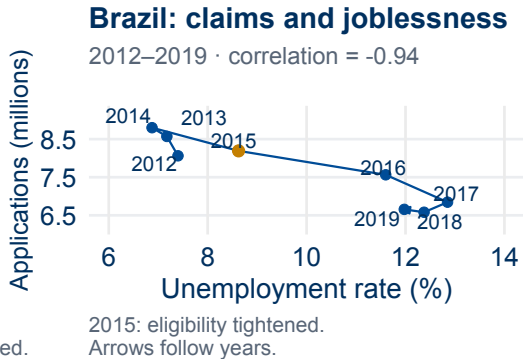
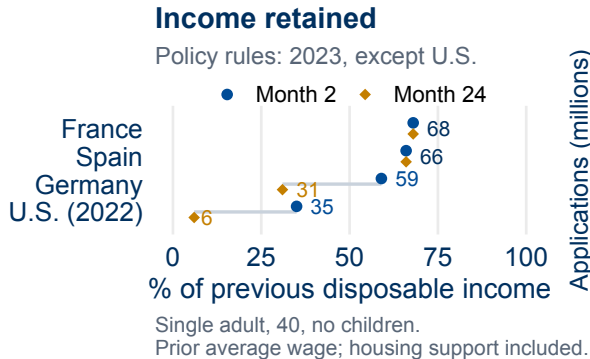
Unemployment benefits replace part of lost earnings for eligible workers.

- ▶ **Income protection:** helps households keep spending when jobs disappear.
- ▶ **Time to search:** gives workers time to find a suitable job match.
- ▶ **Search incentives:** longer or more generous benefits can reduce the urgency to accept a job and lengthen unemployment.

Design matters: benefit levels, duration, eligibility, and job-search assistance affect the outcome.

Source: Chapter 8 publisher slide 29; Gerard, Gonzaga, and Naritomi, *Job Displacement Insurance in Developing Countries*.

How Does Unemployment Support Work?



Countercyclical support helps households keep spending in downturns. Brazil:
formal-job eligibility can keep claims from rising with unemployment.

Source: OECD, *Society at a Glance 2024*, Fig. 6.7; MTE; IBGE, PNAD Contínua; Gerard, Gonzaga, and Naritomi.